The British colonial empire continued to rule India; Mahatma Gandhi returned to India from South Africa in 1915 and took part in the Indian freedom movement, soon becoming its leader. Rabindranath Tagore visited China in 1924.

The Second World War broke out in 1939, and the Pacific War commenced in 1942 after Japan attacked the US at Pearl Harbor in Hawaii. China under Chiang Kai-shek became an ally of the US and Britain in the war against Japan. Chiang Kai-shek visited India in 1942 to persuade Mahatma Gandhi and Nehru to support the Allied powers in the war against Nazi Germany and Japan, but failed.

After the end of the war, India gained independence in 1947; diplomatic relations were established with the KMT government then based in Nanjing.

The People's Republic of China (1949–): After the end of the Second World War, the civil war between the Chinese Communist forces under Mao Zedong and KMT forces under Chiang Kai-shek raged for four years, from 1945 to 1949, and ended with the defeat of the KMT. The KMT forces retreated to the island of Taiwan. Mao proclaimed the People's Republic of China (PRC) on 1 October 1949. India recognized PRC and established diplomatic relations with the new regime soon after its establishment.